

SECTION "B"

SHORT ANSWER QUESTIONS

Q.1 Define production and name the factor of production?

Ans: The term production refers to those human efforts which result in creation of goods and services to be used for satisfaction of wants. Such goods and services command a price and are used for satisfaction of wants. It means, production involves those human efforts which create utility in a good and add exchange value to it.

Since addition of exchange-value can also be made either by changing the form of the matter or by changing its place or by change in time, therefore production can also take place through these changes.

Factors of Production

Factors of production are those elements or agent or input which make production possible through their combined and co-operative action. They are: land, labour, capital and organization or entrepreneurship. Modern economists call them productive services or more recently merely inputs.

Q.2 Define land, Explain importance of land as a factor of production?

Ans: L.M. Fraser defines land as,

"Land stands for all natural resources which yield an income or which have exchange value. It represents those natural resources which are useful and scarce, actually or potentially."

We may include in land besides its soil and fertility, all of mineral including, gas, petroleum, and all kind of water resources and natural forces like heat, air, rainfall, and forest and mountains etc.

Importance of Land as a Factor of Production

Land is a basic factor of production; without land any kind of production is not possible. However, man may apply his efforts even with the aid of machinery and skill, he can produce nothing unless there is land to support his efforts. It is the land, out of which we get a number of commodities which satisfy our wants.

Briefly, land is a basic factor of production; without it nothing can be produce even the survival of the man entirely depends upon it.

Q.3 Define efficiency of land describe these factor on which efficiency of land depends?

Ans: Meaning of the Efficiency of land

By efficiency of land is meant its ability and suitable for the purpose it is put to use. Efficiency of land is measured by its productivity in a certain process of production. Higher is the productivity, the more is the efficiency, and vice versa.

The efficiency of land depends upon the following three factors

- i) **Internal or natural conditions:** Like chemical nature of soil, the climate and the sub-soil water are the most important.
- ii) **External or outside conditions:** These conditions refer to the location of land, availability of cheap and quick means of transportation and the way it is being used in production.
- iii) **Organizing ability of human resources:** The efficiency of land also depends upon the organizing ability of the human resources of the country.

Q.4 What is meant by labour? What are meanings of efficiency of labour?

Ans: Meaning of Labour

In Economics, the man labour is used in a wider sense. It included both physical and mental work undertaken for some monetary reward. According to S.E. Thomas.

"Labour consists of all human efforts of body or of mind are undertaken in the Expectation of reward."

Meaning of the Efficiency of Labour

Efficiency of labour means the productive capacity or ability to work of a labourer. In fact, it is the quality of a labourer to do more and better work or both during a given period of time compared to other the qualitative aspect of the labourers. The more the labourers of a country have this quality, the more efficiency they would be.

As a matter of fact, efficiency of labour is a relative concept. When we say that Japanese workers are more efficient than Pakistani workers, we compare the efficiency of the both.

Q.5 Explain briefly Malthusian Theory of Population?

Ans: Malthus expressed his view about population in his book "Essay on Population" published in 1798. His propounded theory may be briefed as under.

1. **Population increases in geometrical progression:** Under normal conditions population tends to increase geometrical progressive; 1,2,4,8,16,32,64,128,256, (after 200 years). That due to natural sex instinct in human beings to increase at a fast rate. If population remains unchecked it doubles itself every 25 years.
2. **Food supply Increase in arithmetical progress:** Food supply, on the other hand, increases in a slow arithmetical progression: 1,2,3,4,5,6,7,8,9,10 (after 200 years). That happens due to the operation of law of diminishing return.
3. **Population outruns food supply:** Since population increases at much faster rate than food supply, therefore, it tends to outruns food supply.
4. **Preventive checks must be adopted:** Rapid growth of population must be checked by means of preventive checks, man-made or artificial checks like living unmarried. Late married riages and voluntary control in married like. When preventive checks are ignored the natural sets its own course to restore balance between population and food supply through positive checks like famine, drought, earthquake, disease and wars. Because positive checks are very crude therefore, preventive checks are better than positive checks.

Q.6 Critically examine the Malthusian Theory of Population?

Ans: Malthusian theory was severely criticized on various grounds which may be summarized as follows:

- i) Lack of historical proof.
- ii) Ignored scientific discoveries and Inventions.
- iii) Ignored a vital biological fact of life.
- iv) Neglected the manpower aspect.

- v) Ignored the correct relationship between population and total wealth.
- vi) Increase of population is not harmful to every country.
- vii) Positive checks are not peculiar to over-populated countries.
- viii) One-sided theory.

Q.7 Define Capital. What are function of capital?

Ans: Meaning of Capital

Capital has been defined as "produced means of production", i.e., man-made means of production. This definition distinguishes capital from both land and labour because they are not the produced factors. They are, in fact, primary or original factors of production.

A precise definition of capital has been given by Prof. Richard T. Gill. According to him, "A country's capital is its stock of produced or man-made means of production, consisting of such items as buildings, factories, machinery, tools, equipments and inventories of Goods in stock."

Functions of Capital

Today, any sort of production without capital has become almost impossible. The main function of capital are:

- i) It increases productive efficiency of other factors of production.
- ii) It helps in exploiting the resources.
- iii) It helps in accelerating the rate of economic growth.
- iv) It helps in attaining advantages of division of labour.
- v) It helps in facilitating exports.
- vi) It helps in increasing quantity and improving the quality.
- vii) It helps in increasing mobility of human and material resources.
- viii) It helps in creating job opportunity.
- ix) It makes large-scale production and greater degree of specialization possible.

Q.8 Define Organization or Entrepreneurship. Describe types of business organization?

Ans: Meaning of the Organization:

Organization is the fourth factor of production. It is the factor which brings together all other three factors of production-land, labour and capital makes production possible. Due to its role in the process its user the organizer or enterpriser, is considered as one of the most important factors of production in modern times. Now-a-days, the organizer or enterpriser is called an entrepreneur (a person who starts or organizes a commercial enterprise, especially the one involving financial risk). He is the man who collects all the other factors of production, coordinates them in a proper production. Supervise the process, purchases raw-material, sells furnished goods and bears the risk of profit and loss. In these days, he is considered as the "Capital of industry."

Types of Business Organization

There are various types of business organization. They included.

- i) Sole or Single or Individual Proprietorship
- ii) Partnership
- iii) Joint Stock Company
- iv) Co-operative Societies
- v) Public or State Enterprises

Q.9 What are merits or advantages of Sole Proprietorship?

Ans: Merits or advantages of sole proprietorship

Sole or individual proprietorship has the following merits.

- 1) Easy to start.
- 2) Easy to close
- 3) Quick decision.
- 4) Need of small capital.
- 5) Close contact with customers.
- 6) Business secrets remain intact.
- 7) Free from labour disputes
- 8) Gives personal incentive for hard work.

Q.10 What are demerits or disadvantages of Sole Proprietorship?

Ans: Demerits or disadvantages of sole proprietorship

Sole or individual proprietorship is not free from the some glare demerits. They may be of the following nature.

- i) No scope of division of labour
- ii) No scope to reap the advantages of large-scale business.
- iii) Disadvantages of unlimited liability.
- iv) Possibility of high cost of production.
- v) Limited scope of using machines.
- vi) Less credit worthiness.
- vii) Uncertainty of continuity.
- viii) Possible to face economic crisis is very limited.

Q.11 What are merits or advantages of Partnership?

Ans: Merits or advantages of Partnership has the following merits.

- 1) Easy to set up.
- 2) Can secure more capital funds.
- 3) Large-scale in decision-making
- 4) Use of diverse talents.
- 5) Promptness in decision-making
- 6) Check on hasty decisions.
- 7) Personal interest and initiative
- 8) Availability of larger credit.

Q.12 Describe demerits or disadvantages of Partnership?

Ans: Demerits or disadvantages of partnership

Partnership has some demerits also. They may be of the following nature.

- 1) Lack of permanency.
- 2) Lack of mutual confidence.
- 3) Lack of liability.
- 4) Delay in decision.
- 5) Unlimited liability.
- 6) Difficult to close down.

Q.13 Describe merits or advantages of joint stock companies?

Ans: Merits or advantages of joint stock companies

Following are the merits or main advantages of the Joint stock Companies

- 1) Mobilization of large resources
- 2) Perpetual existence
- 3) Economics of large-scale production
- 4) Limited liability
- 5) Specialized management
- 6) Permanency.
- 7) Easy to collect capital.
- 8) Transfer of shares.
- 9) Suitable for larger enterprise.
- 10) Champion of economic democracy

Q.14 What are demerits or disadvantages of joint stock companies?

ANS: Demerits or disadvantages of joint stock companies

Joint stock companies are also not free from certain drawbacks of the following nature.

- i) Drawback of separation between ownership and management.
- ii) Drawback lack of interest of the shareholders.
- iii) Exploitation of the majority of the shareholders.
- iv) Drawback of limited liability.
- v) Burden of heavy taxes.
- vi) Encourages speculation.
- vii) Disadvantages of large-scale production.
- viii) Breeds corruption.
- ix) Labour disputes are common

CHAPTER # 3

SECTION "A"

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from the given options.

- 1) The ability of a good to satisfy human wants is known as
 - a) Productivity
 - b) Durability
 - c) Utility
 - d) Scarcity
- 2) When total utility is maximum, the marginal utility is
 - a) Positive
 - b) Negative
 - c) Zero
 - d) Hundred
- 3) All those human activities which are directly related to satisfaction of wants are termed
 - a) Production
 - b) Distribution
 - c) Consumption
 - d) Exchange
- 4) Marginal utility is derived utility
 - a) Additional unit
 - b) Second unit
 - c) Total unit
 - d) Exchange
- 5) So long total utility increases, marginal utility
 - a) Increases
 - b) Decreases
 - c) Expands
 - d) Contracts
- 6) When total utility decreases, marginal utility becomes
 - a) Zero
 - b) Negative
 - c) Positive
 - d) Maximum
- 7) A consumer can get maximum satisfaction when the marginal utility of each good is proportional to its
 - a) Price
 - b) Elasticity
 - c) Additional
 - d) Last unit
- 8) Marginal utility is the utility of
 - a) First unit
 - b) second unit
 - c) Additional unit
 - d) Last unit
- 9) The law of Equi-marginal utility is also called
 - a) Law of substitution
 - b) Law of constant cost
 - c) Law of constant return
 - d) Law of diminishing marginal utility
- 10) Marginal utility curve would be below x-axis if marginal utility
 - a) Positive
 - b) Negative
 - c) Constant
 - d) zero

SECTION 1

SHORT QUESTION ANSWERS

Q.1 What is Consumption?

Ans: Meaning of consumption

Consumption, in ordinary sense, means eating or using up goods and services, but in Economics it has a particular meaning. Consumption can be, defined as,

"All those human activities which are directly related to immediate satisfaction of wants are termed as consumption"

Contrarily, those human which are indirectly related to satisfaction of wants or which create means for satisfaction are termed as production. Since human wants are satisfied with wealth, thus the act of applying wealth for getting satisfaction of wants is also termed as consumption.

Q.2 Describe the importance of consumption?

Ans: Meaning of utility

Utility may be defined as the power of a product or service to satisfy a human want. A good or service may not be useful, even dangerous for the health, but if it satisfies an economic wants, it possess utility. For example, wine and cigarettes etc. are dangerous for health, but they are wanted by their users so they have utility. The persons who do not like them just considering them harmful or dangerous for health, there is no utility in these goods for them.

Characteristics of Utility

The concept of utility has some certain characteristics. They may be of the following nature.

- i) Different uses yield utilities.
- ii) Utility may change with change in ownership.
- iii) Utility and a human desire go side by side.
- iv) Utility may change with change in place.
- v) Utility may change with time.
- vi) Utility may change with the change in the form of an article.
- vii) Utility may increase with the growth of knowledge.

SECTION "B"

SHORT QUESTION ANSWERS

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- vii) Utility may increase with the growth of knowledge.

Q.3 What is difference between Total Utility and Marginal Utility?

Ans: Total utility is the amount of utility derived from the consumption of all the units at the disposal of the consumer.

Marginal utility is the utility of an extra or additional unit. It is the point where the consumer hesitates. Being on the margin of doubt, whether it will be worthwhile to buy utility derived from the good is equal to its price.

A consumer buys a good because it gives him some utility or satisfaction. When a consumer uses more and more units of the same good at a particular time, the utility from successive units will be decreasing. The satisfaction which a consumer derives from the consumption from the consumption of the second units of a good will definitely be less than the utility he would derive from the first unit. The utility from the third unit will be less than the second one, and from the fourth will be less than the third one, and so on.

Q.4 What are exceptions or limitations of the Law of Diminishing Marginal Utility?

Ans: Exceptions or limitations of the Law

Exceptions or limitations of the law refers to those factors which make the law ineffective. They include.

- i) **Rare object or hobby goods:** Rare objects like diamonds and jewels or hobby goods like stamps, coins and paintings collection are said to be exempted from the application of the law. The utility of the additional coins or jewels or hobby goods may be greater than the earlier collection.
- ii) **Use of intoxicants:** It is also said that this Law is not effective in the case of use of intoxicants such as wine, heroin, and opium etc.
- iii) **Lust of power, love of money and eagerness of display:** It is also said that this law does not apply to lust of power, love of money and eagerness of display.

Q.5 What are assumptions or conditions of Law of Diminishing Marginal Utility?

Ans: Assumptions or conditions of the law

No doubt the law diminishing marginal utility is a universal law. It however, comes true under certain conditions or assumptions. They include:

- i) All the units of the given must be identical in quality and quantity.
- ii) Taste, habit, customs, fashion, temperament and income of the consumer should remain unchanged.
- iii) Units of the goods should be consumed in succession at one particular period.
- iv) The price of the goods and its substitution must remain unchanged.
- v) Units of the goods be of suitable size.

Q.6 What is importance of the Law of Equi-marginal Utility?

Ans: Importance of the Law of Equi-marginal Utility can be judged from the fact that it is helpful almost in every branch of economic activities.

- i) **Helpful to consumers:** The law guides consumers in getting maximum satisfaction by spending their limited income on different goods.
- ii) **Helpful to producers:** The law also has a great value for the producers. It guides them to find that combination to different factors of production which gives them maximum return with the given input.
- iii) **Helpful in exchange:** The law can be used to ascertain the price of a good which a buyer is likely to offer.
- iv) **Helpful in distribution:** The law is also helpful in fixing the equitable reward of each factor of production on the basis of its marginal productivity.
- v) **Helpful in collecting the revenue:** The law is also taken as the guiding principle to find out a rational base for the levy of progressive taxes, to collect the revenue.

Q.7 What is equilibrium conditions or maximum satisfaction condition of a consumer?

A consumer can get maximum satisfaction when the marginal utility of each good is proportion to its price and the ratio of the prices of all goods is equal to the ratio to their marginal utilities.

The maximum satisfaction condition of the consumer or his equilibrium condition may be stated in the following formula.

$$\frac{MU_x}{P_x} = \frac{MU_y}{P_y} = \dots = \frac{MU_n}{P_n}$$

- 14) The willing to purchase ability to purchase is called
 a) Utility b) Desire c) Demand d) Commodity
- 15) Functional relationship between price and quantity demanded is
 a) Implicit b) Positive c) Negative d) Explicit
- 16) The elasticity of demand for luxuries is always
 a) More than one b) less than one c) equal to one d) perfect elastic
- 17) Want becomes a demand when it is backed it is backed up by
 a) Supply b) production c) purchasing d) none of these.

SECTION "B"

SHORT ANSWER QUESTIONS

Q.1 What is demand in Economic?

Ans: Income sense, the term demand refers to a desire or a wish of a thing. But in Economics, this term is used in a particular meaning. A demand for anything cannot be considered a demand unless these two conditions are met.

- i) Willing to buy that thing at a particular price, and
- ii) Having the ability or purchasing to buy it.

If someone is willing to buy a particular thing; let it be a pen, in case he has no money to buy it, his desire to have a pen cannot be termed as demand. Similarly, if has money to buy the pen but he is not willing to buy it his ability to buy alone cannot be termed as demand in Economics. For demand of anything one must qualify these two conditions simultaneously.

Q.2 What is difference between demand and quantity demanded?

Ans: Demand represent the entire demand schedule or curve which shows the quantities of a good demanded at various prices. Quantity demanded, at the other hand, refers to that particular quantity which consumers buy at a particular price.

Quantity demanded of a good changes due to the changes in price of a good. When price of a good falls, its quantity demanded increases and when its price rises, its quantity demanded decreases. Change in demand occurs when due to the other factors than price a shift in the entire curve takes place. Other factors than price are income of the consumers, change in prices of substitute goods, change in taste and fashion etc.

Q.3 What are Assumption or limitation of Law of Demand?

Ans: Assumptions or limitations

The phrase "other things remaining the same" refers to certain assumption on which the law of demand is based. They include:

- i) Income of the consumers (buyers) must not change.
- ii) Consumers' taste, choice & fashion must remain the same

CHAPTER # 4

SECTION "A"

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from given options

- 1) Demand is a function of
 - a) Income
 - b) Price
 - c) Money
 - d) All of these
- 2) The demand curve always slopes from
 - a) Left to right
 - b) Right to left upward
 - c) Right to left
 - d) Left to right downward
- 3) Demand curve has a
 - a) Positive slope
 - b) Negative slope
 - c) Vertical slope
 - d) Horizontal slope
- 4) Which law states that quantity demanded of a goods and its price has a reverse relationship?
 - a) Law of Supply
 - b) Law of demand
 - c) changes in other than price
 - d) None of these
- 5) Rise and fall in quantity demand are the result of
 - a) Changes in price
 - b) Change in value of money
 - c) Changes in other thing than price
 - d) None of these
- 6) Extension or expansion in demand takes place due to
 - a) Increase in price
 - b) Change in fashion
 - c) Decrease in price
 - d) None of these
- 7) Contraction in demand occurs due to
 - a) Decrease in price
 - b) Other things than price
 - c) Increase in price
 - d) None of these
- 8) Elasticity of demand is the rate or degree of change in demand due to change in
 - a) Price
 - b) Income
 - c) Value of money
 - d) Exchange of goods
- 9) Price elasticity of demand measure the change in
 - a) Price
 - b) Income
 - c) Value of money
 - d) None of these
- 10) Income elasticity of demand measure the change in
 - a) Price
 - b) Income
 - c) Value of money
 - d) Substitute good
- 11) Cross elasticity of demand measures the change in
 - a) Price
 - b) Income
 - c) Price of substitute good
 - d) Value of money
- 12) Measure of elasticity of demand between two point is called
 - a) Point elasticity of demand
 - b) Income elasticity of Demand
 - c) Arc elasticity of demand
 - d) Cross elasticity of demand
- 13) Measurement of elasticity of demand for very small changes in price is called
 - a) Arc elasticity
 - b) Point elasticity of demand
 - c) Income elasticity of Demand
 - d) None of these

- iii) Price of related goods must not change.
- iv) Expectation regarding to a change in the price of certain commodity must not change.
- v) Discovery of new cheaper & better goods must not take place or expected to come in near future.
- vi) The quantity of population must not change.

Q.4 What is Elasticity of demand?

Ans: The term elasticity of demand signifies the changes for a good in response to a change in its price.

In other words of stonier and Hugue.

"Elasticity of demand is a technical term used by the economists to describe the degree of responsiveness of the demand of a commodity to a change in its price."

According to Micheal Parkin,

"Elasticity of demand is a measure of the responsiveness of the quantity demanded of a good to a change in its price." From these definition we may define the elasticity of demand as the degree or the rate or the proportion of change of quantity demand for a good to a change in its price.

Q.5 Differentiate between Arc Elasticity of Demand and Point Elasticity of Demand?

i) Arc Elasticity of Demand

The measure of elasticity of demand between two finite points on a demand curve is known as arc elasticity. In fact, when price elasticity is measured for a considerable high change in price, it is called elasticity.

ii) Point Elasticity of Demand

When price elasticity is measured for very small changes in price, it is called point elasticity of demand. Point elasticity is simply arc elasticity when the distance between the two points becomes almost zero. Therefore, point elasticity of demand may be defined as the proportionate changes in quantity demanded in response to a very small proportionate change in price.

Q.6 How many kinds are there Elasticity of Demand?

Ans: There are three kinds of demand for a good or a service. They

- 1) Price demand: It concerns with price of a good or a service.

2) **Income demand:** It concerns with the income of the consumer.

3) **Cross demand:** It concerns with the price of substitute goods.

Hence, elasticity of demand can be classified into following three kinds

- i. Price Elasticity of Demand.
- ii. Income of Elasticity of Demand.
- iii. Cross Elasticity of Demand.

Q.7 What is Income Elasticity of Demand? How it can be measured?

Ans: Income elasticity of demand can be defined of a good to the

"The ratio of the percentage change in quantity demanded of a good to the percentage change in the income of the consumer."

For measurement income elasticity of demand following formula is used.

Income elasticity of demand = $\frac{\% \text{ change in quantity demanded of the good}}{\% \text{ change in income of the consumer}}$

For example, if a 10% rise in come of a consumer causes a 15 % rise in the quantity demanded of fruits, the income elasticity will be

$$E_v = \frac{15\%}{10\%} = 1.5\%$$

Q.8 How price Elasticity of Demand can be under Percentage Method?

Ans: Under percentage method, price elasticity of demand can be measured with the help of this formula

For example, suppose the price of a wrist watch goes down from Rs. 500 to Rs. 400. As a result of this fall in price, the quantity demanded for wrist watches goes up from 1000 to 5000 Hence,

$$\% \text{ change in quantity demanded is } = \frac{100}{1000} \times \frac{100}{1} = 10\%$$

$$\% \text{ change in price is } = \frac{100}{500\%} \times \frac{100}{1} = 20\%$$

Q.8 How many kinds are there of Cross-Elasticity of Demand?

Ans: Cross elasticity of demand may be of two kinds.

- i) **Cross-elasticity of substitutes:** When goods are substitutes, such as coffee and tea and butter and margarine etc., an increase in the price on one good will increase the quantity of demand of the other related good. The cross-elasticity of demand in case of substitute is positive.

- ii) **Cross-elasticity of complementary goods:** Complementary goods are those goods which are jointly demanded by a consumer, tyre and tube, car and petrol and pen and ink, for instance.

In case of complementary goods, when there is an increase in the price of one good (say tyre), it leads to a decrease in the demand for the other good (say tube). In other words, in case of complementary goods, the cross-elasticity of demand is negative.

Q.9 What is Cross Elasticity of Demand? How it can be measured?

Ans: Cross elasticity of demand may be defined as

"The degree of responsiveness of the quantity demanded of one good (say X) to change in the price of other related good (say Y).

To measure the cross elasticity of demand of two related goods following formula is used

$$E_{xy} = \frac{\% \text{change in quantity demanded of good X}}{\% \text{change in price of good X}}$$

Or in symbolic terms

$$E_{xy} = \frac{\% \Delta Q_x}{\% \Delta P_y}$$

For example, suppose an increase in the price of coffee by 15% cause a 17% increase in the demand for tea. Then the cross elasticity of tea for coffee will be

$$= \frac{17\%}{15\%} = 1.13$$

Q.10 What methods can be used to measure elasticity of demand?

Ans: To measure the price elasticity of demand of a good or a service, following three methods are used. It is to be noted, when elasticity of demand is referred either with price or without price it must be taken as price elasticity of demand only.

- i) Total Outlay Method of Unity Method.
- ii) Percentage Method, and
- iii) Geometrical Method

Q.11 What are factors which the elasticity of demand?

Ans: Factors which the elasticity of demand for commodity include the following

- | | |
|--|----------------------------------|
| 1) Nature of the goods, | 2) Price of the goods. |
| 3) Variety of uses of the goods | 4) Price of substitutes. |
| 5) Change in the taste of the consumer | 6) Effect of substitute. |
| 7) Time element. | 7) Proportional of income spent. |

CHAPTER 5

SECTION "A"

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from the given options.

- 1) The quantity of a good which is offered for sale at a given price is called
 - a) Demand
 - b) Stock
 - c) Supply
 - d) None of these
- 2) Supply curve moves from
 - a) Left to right upward
 - b) Upward to downward
 - c) Right to left downward
 - d) Downward to upward
- 3) If price rises the supply
 - a) Contracts
 - b) Flies
 - c) Expands
 - d) Floats
- 4) Increase and decrease in supply take place due to
 - a) Price change
 - b) Market in stock
 - c) Changes in other factors
 - d) None of these
- 5) Expansion in supply take place
 - a) Increase in price
 - b) Increase in stock
 - c) Decrease in price
 - d) Decrease in stock
- 6) Contraction of supply occurs due to
 - a) Greater than unit
 - b) Equal to unit
 - c) Less than unity
 - d) None of these
- 7) If the price percentage change in quantity supplied is equal to percentage change of price, the elasticity of supply is said to be
 - a) Greater than unit
 - b) Equal to unity
 - c) Less than unity
 - d) None of these
- 8) If percentage change in quantity supplied is more than the percentage change in price,
 - a) Less than unity
 - b) More than unity
 - c) Equal to unity
 - d) None of these
- 9) If the percentage change in quantity supplied is less than the percentage change in price, the elasticity of supply will be
 - a) More than unity
 - b) Equal to unity
 - c) Less than unity
 - d) None of these
- 10) Reserve price is that price below which is a seller
 - a) Agree to sell
 - b) Hesitates to sell
 - c) Refuse to sell
 - d) Feels happy to sell

11) Supply curve usually slopes from

- a) Left to right upward
- b) Right to left upward

c) Right to left

d) Left to right downward

SECTION "B"

SHORT QUESTION ANSWER

Q.1 What are meaning of supply?

Ans: Meaning of supply

The term supply, just like demand, is a relative term. It is related to time, place and price. It is, therefore, defined as, "the quantity of a good which is offered for sale at a given price, at a certain place, in a particular period of time." Contrary to demand of a good if the price of a good increases quantity of supply expands, and vice versa.

Q.2 Differentiate between stock and supply?

Ans: Stock is that total quantity which the producers or sellers intend to sell at a particular price in a specific period of time. Supply, on the other hand, is that part of the stock which is offered for sale at a price prevalent in the market. For example, suppose there is 1000 kilos of sugar available with the sellers in a certain locality today. The sellers intend to sell this total quantity at a reserve price of Rs.30.00 per kilo. But, on the other hand, the buyers are willing to buy it at a rate of Rs.25.00 per kilo. Now, if the sellers are ready to sell some quantity at this offered price, say 400 kilos, then in this case, 400 kilos of sugar will be considered supply and the remaining quantity (600 kilos) which has been held back for selling on a higher price than this one, will be considered stock.

Q.3 State the law of Supply?

Ans: Statement of the law: The law of supply is stated in the following words "other things remaining the same. If the price of a good rises its supply expands. And if the price falls its supply is contracted."

Q.4 What are causes of changes in supply?

Ans: Causes of changes in supply

The increase or decrease in supply may take place on account of a number of causes. They include.

- i) Production technology.
- ii) Price of factors of production
- iii) Price of other products.
- iv) Objective of the firm.

CHAPTER 6

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from the given options.

1) The quantity or sold at the equilibrium price is known as

- a) Equilibrium quantity
- b) Quantity supplied
- c) Quantity Demanded
- d) None of these

2) Equilibrium price is determined by

- a) Demand only
- b) Interaction of demand and supply
- c) Supply only
- d) stock

3) Market period consist of

- a) Few days
- b) A year
- c) Few months
- d) None of these

4) All the factors of production become variable in

- a) Short-run
- b) Long-run
- c) Market period
- d) Boom period

5) Lang-run price is also known as

- a) Abnormal price
- b) Artificial price
- c) Normal price
- d) Temporary price

SECTION "B"

SHORT ANSWER QUESTIONS

Q.1 What is an equilibrium price?

Ans: Equilibrium price

Demand and supply are the factors which act in the opposite direction regarding to price. When the price of a good falls, its quantity demanded increases but its quantity supplied decreases. Contrary to it, when price rises, its quantity demanded falls but quantity supplied goes up. Following a change in price, these two forces move into opposite direction to adjust each other. Ultimately, at a certain price they become equal to each other. Thus the price at which the quantity demanded equals to quantity supplied is called equilibrium price, at an equilibrium price, the forces of demand and supply are balanced or tend to be equilibrium.

Q.2 How an equilibrium price is determined?

Ans: An equilibrium price is determined by the interaction of demand and supply forces of the concerned goods. In fact, demand and supply forces are the function of price through they behave differently with demand for and supply of goods. At higher price less is demanded there as supply reacts quite against it. Price comes to stay in the market at the point where both the demand and supply forces equate each other.

Q.3 How the price of perishable goods is determined in market period?

Ans: In case of a perishable goods like milk or fish, the supply is limited by the available quantity in a day or so. The supply of supply of such goods cannot be kept back for more than few hours. The whole of their quantity must be sold away in a limited period, whatever the price may be. However, demand forces plays a decisive role in this regard.

Q.4 How the price of durable goods is determined in the market period?

Ans: In market period, the supply of durable goods cannot be increased or decreased. It can be decreased if the price fall and sellers tend to withhold the stock. In such a situation, the demand side will dominate the supply in determination of price.

CHAPTER 7

SECTION "A"

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from the given options.

- 1) A joint stock company usually conducts
 - a) Small-scale production
 - b) Medium-scale production
 - c) Large-scale production
 - d) None of these
- 2) Law of Diminishing Returns is generally applicable to
 - a) Industry
 - b) Agriculture
 - c) Trade
 - d) All fields of production
- 3) Law of Increasing Returns is also known as
 - a) Law of constant returns
 - b) Law of constant cost
 - c) Law of Diminishing cost
 - d) Law of increasing returns
- 4) Law of Diminishing is also known as
 - a) Law of diminishing cost
 - b) Law of constant cost
 - c) Law of increasing cost
 - d) Law of increasing returns
- 5) Law of Constant Returns is also known as
 - a) Law of increasing cost
 - b) Law of constant cost
 - c) Law of diminishing cost
 - d) Law of increasing returns
- 6) Law of Increasing Cost is also known as
 - a) Law of increasing returns
 - b) Law of constant returns
 - c) Law of Diminishing returns
 - d) None of these
- 7) Law of Diminishing Cost is also known as
 - a) Law of increasing returns
 - b) Law of constant returns
 - c) Law of diminishing returns
 - d) None of these
- 8) Law of Constant Cost is also known as
 - a) Law of increasing returns
 - b) Law of diminishing returns
 - c) Law of constant returns
 - d) None of these
- 9) Laws of returns are just reverse of
 - a) Laws of costs
 - b) Law of supply
 - c) Law of demand
 - d) None of these
- 10) Law of Increasing Returns is generally applicable to
 - a) Agriculture
 - b) Industry
 - c) Trade and commerce
 - d) None of these
- 11) Cotton Textile Mills of Pakistan conduct
 - a) Small-scale production
 - b) Medium-scale production
 - c) Large-scale production
 - d) None of these

12) Chemical fertilizer Plants of Pakistan conduct

- a) Small-scale production
- b) Medium-scale production
- c) Large-scale production
- d) None of these

13) Pakistan Steel Mill conducts

- a) Small-scale production
- b) Medium-scale production
- c) Large-scale production
- d) None of these

14) Ready-made garments factories conduct

- a) Small-scale production
- b) Medium-scale production
- c) Large-scale production
- d) None of these

15) Hosiery goods are manufactured conduct

- a) Small-scale production
- b) Medium-scale production
- c) Large-scale production
- d) None of these

16) The Law of Diminishing Marginal Returns applies especially to

- a) Industry
- b) Mining
- c) Agriculture
- d) None of these

SECTION "B"

SHORT QUESTION ANSWERS

Q.1 What is large-scale production?

Ans: When a firm uses huge machines, employs a large number of employees and invests a huge amount of capital, the scale of production is said to be the large one. The production units, which conduct large-scale production, are mostly the joint stock companies and public corporations. There can be seen division of labour and use of machines in their extreme use.

The bigger cotton textile mills, chemical fertilizer plants, sugar plants, sugar factories, iron and steel and multinational pharmaceutical companies of Pakistan are included in the large-scale productive price.

Q.2 What is small-scale production?

Ans: When a firm operates by using less capital and small quantities of other factors of production, the scale of production is said to be the small one. The productive units which conduct small-scale production are such factories wherein machines are used, division of labour is limitedly applied, and the number of employees is not big enough. In Pakistan, the firms or units which are engaged in the manufacturing of surgical instruments, sports goods, electric fans, washing machines, ready-made garments, leather garments and hosiery goods etc. are being run on small-scale production.

Q.3 What are advantages or merits of large-scale production?

Ans: Following are advantages or merits of large-scale production

- i) Benefits of internal economics.
- ii) Benefits of external economics.
- iii) Benefits of division of labour.
- iv) Benefits of auxiliary industries.
- v) Attainment of quality goods.
- vi) Economy of buying and selling
- vii) Benefits of research & innovations.
- viii) Benefits of advertisement & salesmanship.
- ix) Facilitates the growth of joint stock companies and public corporations.

Q.4 What are disadvantages or demerits of large-scale production?

Ans: Following types of disadvantages may be attributed to the large-scale production.

- i) Danger of under or over-production.
- ii) Danger of strike and lockout.
- iii) Drawbacks of division of labour.
- iv) Evils of advertisement and publicity.
- v) Foreign markets dependency.
- vi) Danger of class-struggle.
- vii) Danger of monopoly.
- viii) Danger of unequal distribution of wealth.
- ix) Ignorance towards individual tastes.

Q.5 What are advantages or merits of small-scale production

Ans: Small-scale production may have following advantages.

- i) Prompt decision and quick execution.
- ii) Close supervision
- iii) Direct relation between the workers and employers.
- iv) Direct relation between the customers and the producer.
- v) Need of small capital
- vi) Source of employment.
- vii) Free from large-scale production evils.
- viii) Easily manageable.
- ix) Suitable for particular goods.

Q.6 What are disadvantages or demerits of small-scale production?

Ans: The small-scale production has the following disadvantages.

- i) Less scope for use of modern inputs.
- ii) Wastage of by-products.
- iii) Difficult in facing bad times.
- iv) Difficult in getting cheap credits.
- v) Lack of quality goods.
- vi) Lack of research.
- vii) Use of old techniques.
- viii) Difficult in facing competition.

Q.7 What are internal economies? What are its kinds?

Ans: Internal economies

Internal economies are, in fact, those advantages or benefits occur to a firm itself when it enlarges its scale of production or expands its volume of output. The internal economies take place within a firm as a result of its own expansion. They do not depend on the size and expansion of the industry. They occur simply due to the increase on the scale of production

Types or kinds of Internal Economies

They may be of the following types.

- i) Technical economies.
- ii) Managerial economies.
- iii) Financial economies.
- iv) Risk-bearing economies.
- v) Economies of buying and selling
- vi) Economies of efficient use of capital equipment.
- vii) Economies of research and experiments.
- viii) Economies of using by-products.
- ix) Economies of advertisement & salesmanship.
- x) Economies of meeting cad boys.

Q.8 What are external economies? What are its kinds?

Ans: External economies

External economies are those advantages or benefits which arise to each member firm as a result of expansion of the industry as a whole. Expansion of industry may lead to newer and cheaper inputs like raw-material, tools and machinery etc. Moreover, with the expansion of an industry, certain specialized firms come into being, which use waste products of large firms.

Further, as industry flourishes, trade journals may appear which extend their services in the discovery and diffusion of technical know-how.

Types or kinds of External Economies

External economies may be following types.

- i) Economies of concentration
- ii) Economies of information.
- iii) Economies of specialization.
- iv) Economies of specialization.

Q.9 What are assumptions of the Law of Diminishing Returns? Why does the law operate?

Ans: The law of diminishing returns is based on the following assumptions.

Firstly, techniques of production remain constant. In other words, no improvement takes place in the methods and techniques of production.

Secondly, all the units of variable factors are exactly similar to each other in quantity as well as in quality.

Q.10 Why does the Law of Diminishing Returns specially apply to agriculture?

Ans: Through the law of Diminishing returns has a wide application but it specially applies to agriculture and other extractive industries like mining and fishing; where nature plays dominant role with comparison to man. The reasoning is that, agriculture, being subjected to nature is most sensitive to the application of this law, while industry, where man holds supremacy, is subjected to law of increasing returns.

Besides this main reason, there are also some other reasons which explain why the law of diminishing returns is mostly applicable to agriculture. They are:

- iv) The scope for the use of specialized machinery is very limited in agriculture. Thus benefits of large-scale production cannot be attained at the most.
- v) Agriculture activities are spread out over a wide range, therefore appropriate supervision cannot be effective.
- vi) There are further limitations regarding to seasonal effects. In fact, agriculture operation are likely to be interrupted by dramatic changes or other natural calamities like floods, drought, locust and botanical disease etc.

CHAPTER 8

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from the given options.

- 1) As output increase, it also increase
a) Marginal cost b) Average cost c) Variable cost d) Fixed cost
- 2) The equilibrium of a firm is obtained when
a) $MC = MR$ c) $AC = AR$
b) $MC = MR$ and MC cuts MR curve from below d) MC cuts MR curve from below
- 3) The cost which a firm pays to produce an additional unit is termed as
a) Total cost b) Variable cost c) Fixed cost d) marginal cost
- 4) The total cost is equal to
a) $AFC + AVC$ b) $FC + VC$ c) $AC + MC$ d) $VC + ATC$
- 5) When AC curve rises, MC curve remains
a) Below AV b) Above AC c) Equal to AC d) None of these
- 6) One of them represents fixed cost
a) Wages b) Price of raw material c) Rent of land d) Interest on loans
- 7) In short-run a firm can vary its volume of output only by varying the
a) Fixed factors b) Variable factors c) Both kind of factors d) None of these
- 8) In the long-run a firm can vary all its
a) Costs of production c) Factors of production
b) Average fixed cost d) None of these
- 9) All factors of production are variable in the
a) Long-run b) Short-run c) Market period d) None of these
- 10) Generally, long-run average cost curve is a
a) U shaped curve c) L shaped curve
b) Saucer shaped curve d) Rectangular shaped curve
- 11) Mathematically, the LAC curve is the envelope of the
a) LAC curves b) MC curves c) SAC curves d) None of these
- 12) When marginal cost is less than average cost, average cost
a) Increases b) Falls c) Remains constant d) None of these
- 13) When marginal cost is greater than average cost, average cost
a) Falls b) Rises c) Remains constant d) None of these
- 14) Under perfect competition, MR curve coincides with
a) AR curve b) TR curve c) LAC curve d) ATC curve
- 15) Under perfect competition average revenue curve (ARC) is a
a) Curved line d) None of these

SECTION "B"

SHORT QUESTION ANSWERS

Q.1 What are Fixed Costs?

Ans: Fixed costs which are also called direct costs are those items of expenses of a business firms, which do not change with the volume of output. They remain constant as more or less output is produced. Such costs a firm has to incur even when it stops to produce anything temporarily. They include:

- i) Rent of buildings and land
- ii) Interest of long- terms debt,
- iii) Salaries and wages of permanent staff.
- iv) Payments of insurance.

Q.2 What are Variable Costs?

Ans: Variable costs are those items of expenses of a firm which change when the volume of output is changed. When a larger output is produced, more raw-materials are required, more labour has to be hired, more fuel and electricity has to be used, more transportation changes have to be paid. The variable costs are assumed to cease when output is zero. They are also called indirect costs. Variable costs include:

- (a) Wages
- (b) Cost of raw-materials,
- (c) Cost of transportation
- (d) Costs of fuel, power and electricity etc.

Q.3 What are Explicit Costs?

Ans: Explicit costs are paid our costs. They are those money expenses which a firm has to pay to outsiders who supply different inputs and services. They include:

- (a) Wages and salaries,
- (b) Payment for raw-materials,
- (c) Payment of hiring transportation facilities,
- (d) Changing for using fuel, electricity and water etc.
- (e) Payment of insurance,
- (f) Payments for taxes and duties,
- (g) Payment of hiring the services of advertising agencies,
- (h) Payment of interest on borrowed loans,
- (i) Payment of rent on hired building and machinery,
- (j) Payment of profit to firm's share-holders in case of a corporate company.

SECTION "B"

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- (c) Payment of hiring transportation facilities,
- (d) Changing for using fuel, electricity and water etc.
- (e) Payment of insurance,
- (f) Payments for taxes and duties,
- (g) Payment of hiring the services of advertising agencies,
- (h) Payment of interest on borrowed loans,
- (i) Payment of rent on hired building and machinery,
- (j) Payment of profit to firm's share-holders in case of a corporate company.

Q.4 What are Implicit Costs?

Ans: Implicit costs consist of firm's self-owned and self-employed resources. These are the expenses which are not paid to outsiders who supply different inputs and services rather paid to the owner of the firm providing his self-owned, self-employed resources. Implicit costs are also called imputed costs. They includes :

- (a) Salary of the owner: working as a manager,
- (b) Interest of capital provided by the owner by his own source.
- (c) Rent of land provided by the owner of the firm,
- (d) Normal profit of the entrepreneur,
- (e) Depreciation charges, of the machinery including obsolescent charges which the firm has as to face in case a fall occurs in the machinery due to introduction of new one.

CHAPTER 9

SECTION "A"

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from the given options.

- 1) Under perfect competition each firm behaves like a
 - a) Price-Market
 - b) Price-taker
 - c) Decision-maker
 - d) None of these
- 2) Firms can freely enter or exit the industry under
 - a) Monopoly
 - b) Oligopoly
 - c) Duopoly
 - d) Perfect Competition
- 3) A large number of firms operate under
 - a) Imperfect Competition
 - b) Perfect competition
 - c) Monopolistic competition
 - d) Duopoly
- 4) Homogeneous products are traded under
 - a) Monopoly
 - b) Perfect Competition
 - c) Oligopoly
 - d) Duopoly
- 5) Factor of production are perfectly mobile under
 - a) Perfect competition
 - b) Monopoly
 - c) Duopoly
 - d) Oligopoly
- 6) Under perfect competition a firm has to face
 - a) An inelastic demand curve
 - b) A highly elastic demand curve
 - c) A perfectly elastic demand curve
 - d) None of these
- 7) In the long-run a competitive firm attains only
 - a) Normal profit
 - b) Sub-normal profit
 - c) Super normal profit
 - d) None of these

- 8) A firm attains equilibrium under perfect competition where
a) $MC = MR = AR$ c) $MC = MR < AR$
b) $MC > MR > AR$ d) $MC < MR < AR$
- 9) When a competitive firm faces losses the slope of its MR curve is
a) Negative b) Zero c) Positive d) None of these
- 10) A competitive firm decides to shut down its production where
a) $AC > AR$ b) $AC = AR$ c) $AC < AR$ d) $AVC = AR$
- 11) Under perfect competition, goods are solid
a) Differentiated b) sub-standard c) homogeneous d) None of these

SECTION "B"

SHORT ANSWER QUESTIONS

Q.1 What is a perfect competition?

Ans: Perfect competition is a business situation prevailing in the market wherein there is large number of firms included in an industry, produce identical products. Factors of production are perfectly mobile. Firms can freely enter or exit the industry. They are quite independent in their decision-making. Government does not interfere in market activities.

Q.2 Describe necessary conditions of perfect competition?

Ans: Following are necessary conditions of perfect competition.

- i) A large number of sellers and buyers exist.
- ii) Homogeneous products are being traded.
- iii) Factors of production are being mobile.
- iv) Entry and exit are free
- v) Buyers and sellers have perfect awareness about the market conditions.
- vi) Government's interference is not there
- vii) Free from any sort of collusion.

Q.3 How a firm can attain equilibrium in the long-run?

Ans: The long-run equilibrium of a firm under perfect competition refers to the situation where free and full adjustment in the scale of production as well as the number of firms can take place according to the changed conditions. Since in the long-run all the costs become variable and none remains fixed, therefore, the long-run decision. However, it is the long-run average cost (LAC) which plays a determined important role.

Under perfect competition, a firm in the long-run will be in equilibrium (earning normal profits) at the level of output where its long-run marginal cost (LMC) equates marginal revenue (MR) and, at the same time, average revenue (AR) equates long-run average cost (LAC). In other words, it must qualify the following conditions.

$$LMC = MR = AR = LAC$$

Q.4 How long-run equilibrium of an industry takes place under perfect competition?

Ans: The industry attains equilibrium in the long-run when all firms are in equilibrium and further there is neither a tendency for the new firms to make entry into the industry, nor for the existing firm to leave it. Besides, the equality of long-run supply of and demand for the industry's product must be maintained.

However for attaining equilibrium in the long-run the industry has to maintain following three conditions.

Firstly, the long-run supply of and demand for the product of the industry should be Equal.

Secondly, all the firms including the industry should be in equilibrium.

Third, there should be no tendency for the new firms to enter the industry or for the existing firms to leave it.

CHAPTER 10

SECTION "A"

MULTIPLT CHOICE QUESTIONS

Choose the correct answer for each from the given options.

- 1) A monopolist firm is a
 - a) Price-taker
 - b) Price-maker
 - c) Wholesales
 - d) Retailer
- 2) The cross elasticity of demand of the monopolist's product is
 - a) Zero
 - b) highly elasticity
 - c) Fairly inelastic
 - d) None of these
- 3) A monopoly is a
 - a) Many firms industry
 - b) One firm industry
 - c) Few firms industry
 - d) None of these
- 4) A monopolist has
 - a) Many rivals
 - b) No rival
 - c) Few rivals
 - d) None of these
- 5) A monopoly faces
 - a) Up warding sloping demand curve
 - b) Vertical demand curve
 - c) Down ward sloping demand curve
 - d) Horizontal demand curve

- 6) Price is higher and output smaller in
 a) Perfect competition b) Monopoly c) Oligopoly d) Duopoly
- 7) Price discrimination is possible only in
 a) Duopoly b) Oligopoly c) Monopoly d) None of these
- 8) Generally a monopolist earns
 a) Normal profit b) Super-normal profit c) Ordinary profits d) None of these
- 9) Pure monopoly attains equilibrium at the point where
 a) $MC > MR$ b) $MC = MR$ c) $MC < MR$ d) Price < cost
- 10) Under monopoly the demand curve
 a) Rises upward to the left b) Slope downward to the left c) Rises upward to the right d) Slopes downward to the right
- 11) A monopolist firm attains equilibrium where
 a) $AR = MR$ b) $AC = MR$ c) $MR = MC$ d) $AR = AC$
- 12) Under monopolist the price is always equal to
 a) AR b) MR c) MC d) None of these
- 13) A monopolist firm in the long-run attains
 a) Normal profit b) Sub-normal profit c) Super normal profit d) None of these
- 14) Under monopoly the demand curve
 a) Rise upward to right b) Rises upward to the left c) Falls downward to right d) Falls downward to the left
- 15) In monopoly the number of firms is
 a) Two b) very large c) only one d) A few
- 16) The essential condition of monopoly is
 a) Perfect mobility b) Homogeneous product c) No close substitute d) None of these

SECTION "B"

SHORT ANSWER QUESTIONS

Q.1 What is monopoly? What are its characteristics?

Ans: The term monopoly comes from the Greek words monos means single and polein mean seller. Thus, monopoly refers to that market situation where there is only one seller or producer who has some kind of power or control over the supply of a particular product which has no close substitute. The cross-elasticity of demand of the monopolist's product is zero e.g., the monopolist has rivals at all.

A monopolist firm may be characterized by the following main features:

- i) Consisting of single firm industry.
- ii) Price-maker capacity.

- iii) No close substitute available
- iv) Block entry for any other firm.
- v) Discriminatory price is possible.

Q.2 What kind of demand curve has to face a monopolist firm?

Ans: Demand curve facing the monopolist firm will be its average revenue curve (AR) which slopes downward throughout its length. Since AR curve slopes downward, MR curve will lie below it. The implication of MR curve lying below AR curve is that the MR will be less than price of AR. When the firm sells more quantity of his product, price of its product falls; MR, therefore must be less than the price.

must be less than the price.

CHAPTER 11

SECTION "A"

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from the given options.

- 1) The marginal productivity theory of distribution was first presented by
 - a) Adam smith
 - b) Marshall
 - c) Ricardo
 - d) Malthus
- 2) Marginal physical productivity of a factor is meant
 - a) Addition made to the total production
 - b) Addition made to the total sale
 - c) Addition made to the total revenue
 - d) None of these
- 3) Demand for factors of production is a
 - a) Direct demand
 - b) Inelastic demand
 - c) Derived demand
 - d) Elasticity demand
- 4) Supply of factor of production if different conditions may
 - a) Vary
 - b) Fix
 - c) Constant
 - d) None of these

SECTION "B"

SHORT QUESTION ANSWER

Q.1 Name the theory which deals with factors pricing?

Ans: The theory which deals with the way in which prices of the four factors of production-land, labour, capital and organization are determined is called theory of distribution or the theory of factor pricing. The national income is to be distributed among the factors of production. Which have contributed to this production. Thus, in the theory of distribution or factor pricing; we are mainly concerned with those principles according to which the price of each factor of production is determined and distributed.

Q.2 On what assumptions, the theory of Marginal Productivity is based?

Ans: Assumptions: The theory of marginal productivity is based on following assumptions.

- i) All the units of a factors are identical
- ii) Factors can be substituted
- iii) Factors have perfect mobility
- iv) Application of law of diminishing returns
- v) Perfect competition exists.

Q.3 On what ground the theory of Marginal Productivity has been rejected?

Ans : The theory has been rejected on the following several grounds.

- i) Based on unrealistic assumptions.
- ii) Factors are not perfect substitute.
- iii) Concept of application of law of diminishing returns is also wrong,
- iv) To measure Marginal productivity of one of the factors is very difficult.
- v) One sided theory
- vi) A static theory
- vii) Mainly applicable in the long-run

CHAPTER 12

SECTION "A"

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from the given options.

- 1) **Notional income is also called**
 - a) National product
 - b) Gross national product
 - c) Gross domestic
 - d) All of those
- 2) **Gross Domestic Product consists of total sum of all final goods and service which are**
 - a) Product outside the country
 - b) Produced both inside and outside the country
 - c) Produced in the country only
 - d) Exports – Imports
- 3) **Gross National Product (GNP) is the total sum of all the final goods and service**
 - a) Produced inside the country only
 - b) Earned through exports
 - c) Produced both inside and outside the country
 - d) Gained through foreign aid
- 4) **National Income does not include**
 - a) Profit and Rent
 - b) Interest and capital
 - c) Wages and salaries
 - d) Transfer Payment
- 5) **NNP = GNP minus**
 - a) Directed taxes
 - b) Depreciation of capital allowance
 - c) Indirect taxes
 - d) Subsidies

SECTION "B"

SHORT QUESTION ANSWER

Q.1 Define National Income?

Ans: The term national income has been defined differently by the different writer. In the words of Professor Marshall,

"The labour and capital of a country, acting on its natural resources, produce annually a certain net aggregate of all kinds of goods and services. This is the national income of that country."

Another recipient if the Nobel Prize Professor Simon Kuznet has defined national income as,

"The net output value of commodities and services, flowing during a year from the Country's productive system in the hands of ultimate consumers."

We may simplify define these definitions as the total net market-value of all the final goods produced and that of the services rendered in a country during a certain year is the national income of the concerned country.

Q.2 Explain the concept of GDP,

Ans: Gross Domestic Product or GDP is that total market-value of final goods and services which are produced within the country during a specific period usually a year. What is produced or earned outside the country by a country workers. Being the part of that country where they work, is not included in GDP of that country to which they belong. Hence, the remittances (earning from overseas workers) are excluded from GDP; they are included in remittances. Production of that country where they work. In other words, GDP does not include net factor income from abroad. It is only included in GNP.

$$\text{GDP} = \text{GNP} - \text{Income from abroad}$$

Q.3 Explain the concept of GNP.

Ans: Gross National product is the total market-value of final goods and services a nation or a country produced during a certain year. The remittances sent by the nationals working abroad are also included in the GNP of that country which they belong. The depreciation allowance, replacement charges of capital goods, the wear and tear cost of capital goods are also included in GNP. They are deducted when Net National Product (NNP) is computed. Besides, net factor income from abroad (value of exports – value of imports) net difference of inflow and out flow of capital outflow is also included in GNP. Since the non-productive transactions like pensions, old age benefits do not form the part of the GNP, they are not included In GNP Economists generally use expenditure method to calculate GNP.

Q.4 Explain the concept of Net National Product at Market Prices.

Ans: Net National Product (NNP) is the total net market value of final goods and services a nation or a country produces a year. In other words, it is the GNP minus the value of depreciation allowances of capital goods. Since in the process of production of GNP during a year, we have to use various capital goods like equipment, machinery, instruments, tools and building etc, These capital goods are subject to wear and tear being used. So their value goes on decline. Thus, while computing NNP, a certain percentage of value has to be deducted. Therefore NNP is also called National Income at market prices. Briefly, we can define NNP as,

$$\text{NNP or NI}_{\text{MP}} = \text{GNP} - \text{depreciation of capital allowance}$$

Q.5 Explain the concept of National Income at Factor Cost.

Ans: National income is the total sum of all the income payments received by the factors of production-land, labour, capital and organization. It can also be derived by Net National Product (NNP) in the following manner.

$$\text{NI or NI}_{\text{FC}} = \text{NNP} - \text{Indirect taxes} + \text{Subsidies}$$

It is, in fact, the national income at factor cost for which the term national income is frequently used.

Q.6 What is difference between National Income at Factor Cost and National Income at Market Prices?

Ans: The difference between National Income (NI) or National Income at factor cost and Net National Product (NNP) or National Income at market prices arises for imposition of direct taxes and provision of subsidies. These two elements cause market prices of output to be different from the factor income resulting from it. Therefore, national income or national income at factor cost is equal to national product minus indirect taxes plus subsidies.

Q.7 To calculate National Income of a country, some adjustments have to be made. What are those adjustments?

Ans: To arrive at National Income of the country some adjustments of the following nature have to be made.

- i) **Indirect taxes:** excise duty, custom duty and sales tax etc. These taxes become part of GNP and are subtracted from NNP to arrive at National Income.
- ii) **Transfer Payment:** Transfer payments have to be subtracted from NNP in order to arrive at National Income. Such payments are the bad debts incurred by banks, payment of pensions, old-age benefits, unemployment allowances, scholarships, and charity etc.
- iii) **Government subsidies:** Government subsidies are those financial facilities which the Government provides to certain sectors of the economy to encourage their production level in order to arrive at National Income government subsidies from NNP.

CHAPTER 13

SECTION "A"

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from the given options.

- 1) Money performs the function as
 - a) Medium exchange
 - b) Standard of deferred payment
 - c) Store of value
 - d) All of those
- 2) Money acts as common measure of
 - a) Price
 - b) Value
 - c) Purchasing
 - d) None of th
- 3) A good money should have the qualities of
 - a) General acceptability
 - b) Stability
 - c) Legal support
 - d) All of these
- 4) A good money must have essential qualities of
 - a) Congnibility
 - b) Divisibility
 - c) Portable
 - d) All of th
- 5) Money has removed the difficult of
 - a) Double coincidence
 - b) Transfer of wealth
 - c) Store of value
 - d) All of those
- 6) Value of money is meant
 - a) Increasing power of money
 - b) Purchasing power of money
 - c) Decreasing power
 - d) None of these
- 7) In inflation
 - a) Price rises
 - b) Poor becomes poor
 - c) Purchasing power
 - d) All of these
- 8) Credit control can be maintained by
 - a) Fiscal policy
 - b) Monetary policy
 - c) Price control
 - d) C
- 9) Inflation
 - a) Discourage production
 - b) Shrinks production
 - c) Encourage produ
 - d) None of these
- 10) During inflation a debtor
 - a) Suffers losses
 - b) gains
 - c) Remains unaffected
- 11) During inflation fixed income groups
 - a) Gain
 - b) Suffers losses
 - c) Remain unaffected

12) Business during inflation

- a) Suffer losses b) gain c) Remain unaffected d) None of these

13) Investors and shareholders during inflation

- a) Gain b) suffer losses c) Remain unaffected d) None of these

14) During inflation the value of money

- a) Increase - b) decrease c) L.R. fishes d) None of these

SECTION "B"

SHORT QUESTION ANSWERS

Q.1 Define money?

Ans: To give a precise definition of money it is not an easy task because so far various definitions have been put forward by different writers:

The most acceptable definition has been given by D.H. Robertson. According to him

"Money is everything which is widely accepted in payment of goods or in discharge of other kinds of business obligations."

According to Robertson's definition, the thing which is termed as money should qualify the condition of general acceptability.

Professor Crowther offered the best definition of money which nearly includes all the functions of money.

"Money is anything that is generally acceptable as a means of exchange and at the same time acts as measure and store of value."

Q.2 How money has removed various difficulties of barter system?

Ans: The money has removed various difficulties of barter system in the following ways.

- i) Multiple use of money.
- ii) Unit of account.
- iii) Liquidity.
- iv) Portability.
- v) Establishment of financial institution.
- vi) Creation of credit or bank money.
- vii) Working of market mechanism.
- viii) An all round process of economic development.

Q.3 Explain importance of money?

Ans: The real importance and significance of money lies in the following facts.

- i) It is helpful to producers in production
- ii) It is helpful to consumers in consumption

- iii) It is helpful in distributing
- iv) It is helpful in expanding trade and commerce activities
- v) It is helpful to saving and investment
- vi) It is helpful to fiscal management
- vii) It is helpful to social reforms and social progress
- viii) It acts as an index of growth
- ix) It is helpful in attaining political progress

Q.4 What are main function of money?

Ans: The main functions performed by the money are as under:

- i) It acts as medium of exchange.
- ii) It acts as a common measure or yardstick of value.
- iii) It acts as a standard of deferred payment.
- iv) It acts as a store of value.
- v) It acts as a transfer of value.
- vi) It acts as an important instrument of economic policy.
- vii) It acts as a tool of monetary management.
- viii) It acts as an instrument of saving and investment.
- ix) It influences the levels of income and consumption.
- x) It acts to facilitate the economic growth.

Q.5 What are characteristics of a good money?

Ans: A good money should have the following essential qualities.

- | | |
|--|-----------------|
| 1) General Acceptability having intrinsic value and should enjoy legal support | |
| 2) Stability of Value. | 3) Portability. |
| 4) Congizability | 5) Divisibility |
| 6) Durability. | 7) Homogeneity. |
| 8) Malleability | 9) Storability. |

Q.6 What are disadvantages of Paper Money?

Ans: Paper money has the following advantages

- | | |
|--|----------------------|
| 1) Most economical. | 2) Highly portable. |
| 3) Highly portable | 4) Easy in counting |
| 5) Quality of elasticity is there | 6) Easy to recognize |
| 7) Useful to Government | 8) Helpful to bank |
| 9) Helpful for industrial and commercial development. | |
| 10) Possessor of almost all the qualities of good money. | |

CHAPTER 14

SECTION "A"

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from the given options.

1) Which one is not a direct tax?

- a) Income tax b) Sales tax c) Property tax d) Wealth tax

2) Which one is not an indirect?

- a) Excise tax b) General sales tax c) Custom duty d) Income tax

3) A specific tax is levied on a good according to its

- a) Value b) Shape c) Weight d) Importance

4) Ad valorem tax is levied on a good according to

- a) Weight b) Value c) Importance d) Shape

5) Higher the income, higher the rate of tax is a

- a) Proportional tax b) Progressive tax c) Regressive tax d) Digressive tax

6) If the rate of tax remains the same with a change in income, it is

- a) Progressive tax b) Proportional tax c) Specific tax d) Ad valorem tax

7) If the rate of tax is lowered as the taxable income rises, it is a

- a) Regressive tax b) Digressive tax c) Progressive tax d) Proportional tax

8) If a tax is borne by the person on who it is imposed, it is called

- a) Shifting of a tax b) Impact tax c) Incidence of a tax d) None of these

9) If a tax can be passed from one person to other, it is called

- a) Shifting of a tax b) Impact tax c) Incidence of a tax d) None of these

- 10) Public expenditure which does not lead to increase any social benefit, it is a
- Productive expenditure
 - Protective expenditure
 - Unproductive expenditure
 - None of these
- 11) Public expenditure which leads to any social development is a
- Unproductive expenditure
 - Productive expenditure
 - Commercial expenditure
 - None of these
- 12) The revenue which is managed through various taxes, is known as
- Non-tax revenue
 - Commercial revenue
 - Tax-revenue
 - None of these
- 13) The revenue which is collected through other measures than taxes, is known as
- Non-tax revenue
 - Commercial revenue
 - Tax-revenue
 - None of these
- 14) If the total which is collected through other measures than taxes, it is a
- balance budget
 - Deficit Budget
 - Surplus budget
 - Revenue budget
- 15) If the total estimated revenue is lesser than total expenditure, it is a
- Surplus budget
 - balance budget
 - Deficit budget
 - Revenue budget
- 16) The canons of taxation were presented by
- Adam smith
 - Prof. Robbins
 - Prof. Marshall
 - David Ricardo
- 17) Tax rate increases as the taxable income increase in
- Proportional tax
 - Regressive tax
 - Progressive tax
 - Digressive tax

SECTION "B"

SHORT ANSWER QUESTIONS

Q.1 What is demand in Economic?

Ans: Income sense, the term demand refers to a desire or a wish of a thing. But in Economics, this term is used in a particular meaning. A demand for anything, cannot be considered a demand unless these two conditions are met.

- Willing to buy that thing at a particular price, and
- Having the ability or purchasing to buy it.

If someone is willing to buy a particular thing; let it be a pen, in case he has no money to buy it, his desire to have a pen cannot be termed as demand. Similarly, if has money to buy the pen but he is not willing to buy it his ability to buy alone cannot be termed as

demand in Economics. For demand of anything one must qualify these two conditions simultaneously.

Q.2 What is difference between demand and quantity demanded?

Ans: Demand represent the entire demand schedule or curve which shows the quantities of a good demanded at various prices. Quantity demanded, at the other hand, refers to that particular quantity which consumers buy at a particular price.

Quantity demanded of a good changes due to the changes in price of a good. When price of a good falls, its quantity demanded increases and when its price rises, its quantity demanded decreases. Change in demand occurs when due to the other factors than price a shift in the entire curve takes place. Other factors than price are income of the consumers, change in prices of substitute goods, change in taste and fashion etc.

Q.3 What are Assumption or limitation of Law of Demand?

Ans: Assumptions or limitations

The phrase "other things remaining the same" refers to certain assumption on which the law of demand is based. They include:

- vii) Income of the consumers (buyers) must not change.
- viii) Consumers' taste, choice & fashion must remain the same
- ix) Price of related goods must not change.
- x) Expectation regarding to a change in the price of certain commodity must not change.
- xi) Discovery of new cheaper & better goods must not take place or expected to come in near future.
- xii) The quantity of population must not change.

Q.4 What is Elasticity of demand?

Ans: The term elasticity of demand signifies the changes for a good in response to a change in its price.

In other words of stonier and Hugue.

"Elasticity of demand is a technical term used by the economists to describe the degree of responsiveness of the demand of a commodity to a change in its price."

According to Micheal Parkin,

"Elasticity of demand is a measure of the responsiveness of the quantity demanded of a good to a change in its price."

From these definition we may define the elasticity of demand as the degree or the rate or the proportion of change of quantity demand for a good to a change in its price.

Q.5 Differentiate between Arc Elasticity of Demand and Point Elasticity of Demand?

iii) Arc Elasticity of Demand

The measure of elasticity of demand between two finite points on a demand curve is known as arc elasticity. In fact, when price elasticity is measured for a considerable high change in price, it is called elasticity.

iv) Point Elasticity of Demand

When price elasticity is measured for very small changes in price, it is called point elasticity of demand. Point elasticity is simply arc elasticity when the distance, between the two points, becomes almost zero. Therefore, point elasticity of demand may be defined as the proportionate changes in quantity demanded in response to a very small proportionate change in price.

Q.6 How many kinds are there Elasticity of Demand?

Ans: There are three kinds of demand for a good or a service. They are:

- 4) Price demand: It concerns with price of a good or a service.
- 5) Income demand: It concerns with the income of the consumer.
- 6) Cross demand: It concerns with the price of substitute goods.

Hence, elasticity of demand can be classified into following three kinds

- iv. Price Elasticity of Demand.
- v. Income of Elasticity of Demand.
- vi. Cross Elasticity of Demand.

Q.7 What is Income Elasticity of Demand? How it can be measured?

Ans: Income elasticity of demand can be defined of a good to the

"The ratio of the percentage change in quantity demanded of a good to the percentage change in the income of the consumer."

For measurement income elasticity of demand following formula is used.

$$\text{Income elasticity of demand} = \frac{\% \text{ change in quantity demanded of the good}}{\% \text{ change in income of the consumer}}$$

For example, if a 10% rise in come of a consumer causes a 15 % rise in the quantity demanded of fruits, the income elasticity will be

$$E_y = \frac{15\%}{10\%} = 1.5\%$$

Q.8 How price Elasticity of Demand can be under Percentage Method?

Ans: Under percentage method, price elasticity of demand can be measured with the help of this formula. For example, suppose the price of a wrist watch goes down from Rs. 500 to Rs. 400. As a result of this fall in price, the quantity demanded for wrist watches goes up from 1000 to 5000. Hence,

$$\% \text{ change in quantity demanded} = \frac{100}{1000} \times \frac{100}{1} = 10\%$$

$$\% \text{ change in price} = \frac{100}{500} \times \frac{100}{1} = 20\%$$

Q.9 How many kinds are there of Cross-Elasticity of Demand?

Ans: Cross elasticity of demand may be of two kinds.

iii) **Cross-elasticity of substitutes:** When goods are substitutes, such as coffee and tea and butter and margarine etc., an increase in the price on one good will increase the quantity of demand of the other related good. The cross-elasticity of demand in case of substitute is positive.

iv) **Cross-elasticity of complementary goods:** Complementary goods are those goods which are jointly demanded by a consumer, tyre and tube, car and petrol and pen and ink, for instance.

In case of complementary goods, when there is an increase in the price of one good (say tyre), it leads to a decrease in the demand for the other good (say tube). In other words, in case of complementary goods, the cross-elasticity of demand is negative.

Q.9 What is Cross Elasticity of Demand? How it can be measured?

Ans: Cross elasticity of demand may be defined as

"The degree of responsiveness of the quantity demanded of one good (say X) to change in the price of other related good (say Y).

To measure the cross elasticity of demand of two related goods following formula is used

$$E_{xy} = \frac{\% \text{ change in quantity demanded of good X}}{\% \text{ change in price of good X}}$$

Or in symbolic terms

$$E_{xy} = \frac{\% \Delta Q_x}{\% \Delta P_y}$$

For example, suppose an increase in the price of coffee by 15% cause a 17% increase in the demand for tea. Then the cross elasticity of tea for coffee will be

$$= \frac{17\%}{15\%} = 1.13\%$$

Q.10 What methods can be used to measure elasticity of demand?

Ans: To measure the price elasticity of demand of a good or a service, following three methods are used. It is to be noted, when elasticity of demand is referred either with price or with price it must be taken as price elasticity of demand only.

- iv) Total Outlay Method of Unity Method.
- v) Percentage Method, and
- vi) Geometrical Method

Q.11 What are factors which the elasticity of demand?

Ans: Factors which the elasticity of demand for commodity include the following

- 1) Nature of the goods,
- 2) Price of the goods.
- 3) Variety of uses of the goods
- 4) Price of substitutes.
- 5) Change in the taste of the consumer
- 6) Effect of substitute.
- 7) Time element.

Q. Distinguish between a Specific Tax and Ad valorem tax.

Ans: Indirect taxes may be either specific or ad valorem. A specific tax is levied on a good according to its weight. An ad valorem tax, on the other hand, is levied according to its value. In other words, a specific tax is levied on the per unit of a good, whatever its price is. The amount of specific tax varies in accordance with the volume of output or sales of the good. On the other hand, ad valorem tax is levied on a good according to its value. It varies with the total value of output or sales of the good.

Q. Distinguish between impact and incidence of a tax.

Ans:

- i) The impact refers to the initial burden of a tax. Incidence refers to the final burden of a tax.
- ii) Impact of a tax can be shifted, the incidence of a tax cannot be shifted.
- iii) Impact is felt by the tax-payer at the time of imposition of the tax. Incidence is felt at the time of settlement of the tax.
- iv) the impact of a tax is felt by the person from whom the tax is collected. the incidence is felt by the person who actually bears the burden of the tax.

Q. What is public debt?

Ans: Generally, the term "Public Debt" is referred to loans raised by a government with in the country or outside the country. Just like individuals, the governments also have to borrow when their expenditure tends to exceed their revenue.

Philip E. Taylor, an authority on Public Finance, has describes these three features of public debt.

- i) Public debt raise in the form of borrowing by the treasury or the state exchequer; central bank or state bank of the country.

CHAPTER 15

SECTION "A"

MULTIPLE CHOICE QUESTIONS

Choose the correct answer for each from the given options.

- 1) When the economic activities are at peak, it is called
 - a) Boom
 - b) Recession
 - c) Depression
 - d) Recovery
- 2) When an all-round despair grasps all kind of economics activities, it is called
 - a) Recession
 - b) Boom
 - c) Depression
 - d) Recovery
- 3) When the economy starts uprising slowly and steadily, it is called
 - a) Depression
 - b) Boom
 - c) Recession
 - d) Recovery
- 4) When economic activities are badly slaken, it is called
 - a) Depression
 - b) Recovery
 - c) Boom
 - d) Recession
- 5) A trade cycle is a type of fluctuation in
 - a) Economic activities
 - b) Political activities
 - c) Social activities
 - d) None of these
- 6) A typical business cycle contains
 - a) Three phases
 - b) Four phases
 - c) Two phases
 - d) Six phases
- 7) In due course of time, boom phase emerges into
 - a) Recovery
 - b) Recession
 - c) Depression
 - d) None of these

- 8) Phase of recession is also known as
 a) Prosperity phase
 b) Sunspot theory
 c) Under-consumption theory
 d) None of these
- 9) Innovation Theory of trade cycles was presented by
 a) Howtrey
 b) Schumpeter
 c) Keynes
 d) Hicks
- 10) The number of phases of a business cycle is
 a) 2
 b) 3
 c) 4
 d) 5

SECTION "B"

SHORT QUESTION ANSWER

Q.1 Define a trade cycle.

Ans: In words of Keynes.

"A trade cycle is composed of periods of goods trade, characterized by rising prices and low employment percentages, alternating with periods of bad trade characterized by falling prices and high unemployment percentages."

According to Professor Gordon

"Business cycles consist of recurring alternation of expansion and contraction in aggregate economic activities. The alternating movements in each direction being reinforcing and prevailing virtually in all parts of the economy."

Q.2 What are salient features of trade cycles?

Ans: Salient features of trade cycles are as under:

- i) A trade cycle is formed by two contrary forces of expansion and contraction follow each other is formed by two expansion the contraction and contraction to expansion wave-like in its course.
- ii) The forces of expansion and contraction take place periodically at a fairly regular intervals.
- iii) They are always crisis-ridden, whether it is a boom or depression
- iv) None cycle is exactly similar to any other one.
- v) Prices and production unusually rise or fall together
- vi) Profits fluctuate by a much larger percentage than other type of income.
- vii) They have an all-embracing nature.
- viii) They mostly occur in organized money economies.
- ix) The swings from upward to downward are faster than their swings from downwards.

Q.3 How many phases a typical trade cycle has? Name them.

Ans: A typical business cycle contains four different phases or stages. They are Boom or Prosperity, Depression or Contraction, Recession and phase of Recovery or Revival.

Q.4 Describe the main features of Depression phase?

Ans: **Features of Depression phase:** This is the period of mass suffering because during depression economic activities turn extremely far below the normal. Price level becomes low sharp reduction in output, mass unemployment, falling prices, falling profits, low wages and contraction of credit become salient features of the economy. All the sorts of construction activities come to almost complete stand still. Some industries are compelled to close down their production. All sections of the economy have to share the suffer more than others. Business community is the worst sufferer.

Q.5 Describe the main features of phase of Boom?

Ans: **Main features of phase of Boom:** In this phase, optimism grows and spreads far and wide. The income of business takes a forward jump, while wages, interest and other costs lag behind. Attracted by the rising profits the business and industrialists further enhance their capital investment. Prices rise sky-high. The tempo of boom touches new heights. Business confidence reaches to its peak point.

Q.6 Describe the main features of phase of Recession.

Ans: **Main features of phase of Recession:** In due course of time, boom phase emerges into recession. The over-optimism gives way to over-pessimism involving a feeling of hesitation, doubt and fear. Credit is contracted and business expansion is stopped confidence of badly shaken. Construction activities slacken and unemployment spreads all over the economy.

Q.7 Describe the main features of phase of Recovery?

Ans: **Main features of phase of Recovery:** An atmosphere of optimism gets start. This leads to further to further improvement in business activities. Industrial production begins to increase slowly and gradually. The volume of employment also begins to increase steadily. Consequently, production and prices of goods and services begin to show an upward trend. Banks and other financial institutions begin to advance loan and credit to industries which leads to increase the velocity of circulation of money. The process of revival has its commutative effects.